NON-MORTGAGE ASSET-BACKED SECURITIES

Learning Outcome

- describe types and characteristics of non-mortgage asset-backed securities, including the cash flows and risks of each type

As we have seen earlier, non-mortgage assets, such as auto loans, have been used as collateral in securitization. Securitizations can also involve credit card receivables, personal loans, receivables, and commercial loans.

ABS can be categorized whether the collateral is amortizing or non-amortizing. Traditional residential mortgages and auto loans are examples of amortizing loans, where the periodic payments include both principal and interest. In amortizing ABS, as the loans are paid off, the investors receive the scheduled principal repayments, and any prepayments will be distributed to the bond classes based on the payment rule. Over time as loans mature, the number of loans and their total value shrinks.

In contrast, **non-amortizing loans**, such as credit card debt, do not involve scheduled principal repayments. For a non-amortizing collateral pool, the situation is different. Over time, some of these loans will be repaid before the stated maturity date of the ABS. If the loans are paid off during the **lockout or revolving period**, then the principal repaid is reinvested to acquire additional loans with a principal equal to the principal repaid. This reinvestment during the lockout period replenishes the collateral pool. At the end of the lockout period, the amortization period starts, and any principal that is repaid will not be reinvested in new loans but will be distributed to the ABS holders.

A large variety of assets can be securitized as non-mortgage ABS. This module focuses on a credit card receivable ABS and a residential solar ABS.

Credit Card Receivable ABS

Credit cards, issued by banks, credit card companies, retailers, and travel and entertainment companies, provide a convenient way to pay and extend credit. When a purchase is made on a credit card, the issuer of the credit card (the lender) extends credit to the cardholder (the borrower). The cardholder agrees to repay the amount borrowed plus any applicable finance charges. From the lender's perspective, the borrowed amount is a receivable. These receivables can be pooled and used as the underlying collateral for credit card receivable ABS.

A term sheet for a typical credit card ABS can be found in Exhibit 5. In this particular securitization, Commercial Finance Partners AG (CFP), a European bank, pools credit card receivables denominated in CHF. Credit card issuers, such as CFP, benefit from credit card securitization. First, it removes the credit card receivables from their balance sheet, which provides both capital efficiency and reduces the cost of funding. Second, it reduces the cost of default risk from credit card debt. Third, it generates additional fee income.

This particular ABS has a 3-year revolving period when the pool uses balance repayments to purchase new credit card receivables, and this is followed by a 6-year amortization period.

Exhibit 5:

Credit Card ABS Term Sheet Summary

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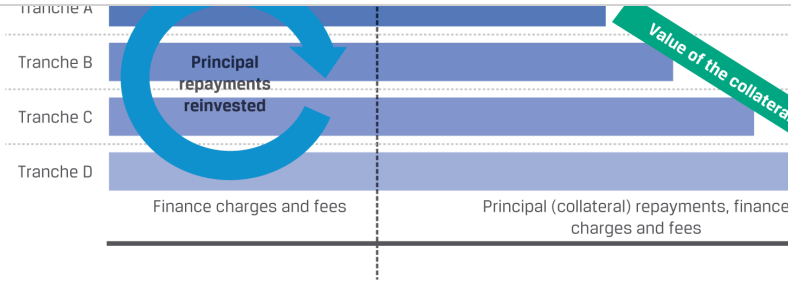
Issuer:	Commercial Finance Partners AG	
Issue Size:	CHF900,000,000	
Maturity Date:	[Nine Years from Settlement Date]	
Revolving Period	[Starts on the Settlement Date and Ends Three Years from Settlement Date]	
Amortization Period:	[Starts Three Years and One Business Day After the Settlement Date and Ends Nine Years from Settlement Date]	
The Collateral:	Portfolio comprises credit card loan receivables originated in, and to individuals in, Switzerland. Aggregate receivables are CHF925 million, with an average principal balance of CHF2,300, with a weighted average interest rate of 12%.	
Tranches	Tranche A Notes	
	Face value:	EUR400 million
	Interest rate:	7.00%
	Credit enhancement features:	Subordination of the Class B, C, & D Notes
	Tranche B Notes	
	Face value:	EUR300 million
	Interest rate:	8.00%
	Credit enhancement features:	Subordination of the Class C & D Notes
	Tranche C Notes	
	Face value:	EUR150 million
	Interest rate:	10.50%
	Credit enhancement features:	Subordination of the Class D Notes
	Tranche D Notes	
	Face value:	EUR50 million
	Interest rate:	Variable
	Credit enhancement features:	None
Interest Payment:	Monthly commencing 30 days from [Settlement Date] to be paid each month, with final payment on [Maturity Date]	

For a pool of credit card receivables, the cash flows consist of finance charges collected, fees, and principal repayments. Finance charges collected are the periodic interest rate the lender charges the borrower on the unpaid balance on the credit card. That interest rate may be fixed or floating. Typically, the floating rate is capped: There is an upper limit of how much the lender can charge the borrower. The fees the lender collects from the borrower include late payment fees and any annual membership fees.

As credit cards are non-amortizing loans, during the revolving period—in this case the first 3 years of the structure—the security holders receive only payments from the finance charges and fees the lender collects. The impact of the revolving period and the amortization period on the cash flows that noteholders receive from ABS that securitizes receivables are depicted in Exhibit 6.

Exhibit 6:

Cash Flows from a Credit Card ABS



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Some provisions in credit card receivable ABS may require early principal amortization if specific events occur. Such provisions are referred to as early amortization or **rapid amortization provisions** and are included to safeguard the credit quality of the issue, particularly during the revolving period. If the repayments during the revolving periods are not sufficient to replenish the pool, or if the defaults significantly alter the pool, the economics of the transaction may no longer be there. This triggers a rapid amortization clause that accelerates and alters principal cash flows. Noteholders will receive their investments earlier, which they can then reallocate to other investments offering more attractive risk/return characteristics. These rapid amortization clauses can be particularly beneficial to investors during periods when there are growing uncertainties about the macroeconomic environment.

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Moreover, credit card ABS typically combine various sources of credit enhancements to support the various tranches. ABS structures normally provide credit enhancements through subordination. For instance, in the CFP example, there are four tranches in addition to the overcollateralization (CHF25 million), the rapid amortization provision, and other tools to support investor appetite for an appropriate risk/return trade-off. In this particular case, losses from the pool have to exceed CHF75 million, or 8.33% of the face value of the ABS issue, before holders of the Tranche C Notes are impacted by the collateral losses.

EXAMPLE 4

Contrasting Non-Mortgage ABS: Credit Card Receivable ABS vs. Auto Loan ABS

For credit card receivable ABS, the collateral is a pool of non-amortizing loans. During the lockout period, the cash proceeds from principal repayments are reinvested in additional credit card receivables. During this period, there is no prepayment risk and potential default risk is generally limited or is absorbed by credit enhancements. When the lockout period is over, principal repayments are used to pay off the outstanding principal on the ABS.

For auto loan-backed securities, the collateral is a pool of amortizing loans and occasionally leases. Security holders receive regular principal repayments. As a result, the outstanding principal balance declines over time. Additionally, the investors in the pool are exposed to both prepayment and default risk from the inception of the pool.

US credit card ABS ratings performed strongly through both the Global Financial Crisis of 2008–09 (GFC) and the COVID-19 pandemic: Less than 2% of related ratings were downgraded during the GFC, and none were downgraded during the pandemic's onset in 2020. ABS performance is supported by the consistent quality of securitized assets and structural features that protect against weaker performance resulting from a stressed environment.

Solar ABS

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With an increasing number of homeowners installing solar energy systems and other home energy efficiency improvements, many specialty finance companies have begun to offer specialized home improvement financing options: solar loans or solar leases. Solar loans allow consumers to borrow the cost of purchasing and the system from an installer. Solar leases involve renting the solar equipment directly from a solar company.

Switching to solar energy not only improves environmental sustainability, but it also reduces overall household utility and electricity expenses. The economics are straightforward: The utility cost savings from switching to solar energy are expected to typically exceed the costs of investing in solar energy systems. Institutional investors have become interested in purchasing solar ABS as these structures offer the opportunity to contribute to sustainability while generating attractive risk-adjusted yields.

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Al-Shims Enterprises decides to securitize its solar energy systems loans via its financing subsidiary using a solar ABS. The solar ABS issues EUR300 million notes secured by 10,000 sustainable, residential, home improvement loans with a face value of EUR320 million. The average loan balance of the home improvement loans is EUR32,500, paying a weighted average rate of 7.5% with a weighted average maturity of 17 years. All loans are amortizing. The net proceeds of the offering will be allocated, in whole or in part, to the purchase and installation of residential solar energy systems, which are eligible green projects.

From Al-Shims' perspective, the securitization transaction removes receivables from its balance sheet, increases capital efficiency, and generates fee income.

An additional feature of the solar ABS transaction is that the proceeds are directed to financing green or environmentally friendly projects. Because solar loans facilitate environmentally sustainable benefits through the installation of a renewable and efficient energy source, they may qualify as green bonds. For institutional investors looking for environmental, social, and governance (ESG) or climate finance investment alternatives, solar ABS can offer an attractive investment alternative.

The precise legal structure of the solar ABS transaction and its collateral depend on the jurisdiction. Normally, ABS are collateralized by the underlying debt: mortgages, loans, or receivables. The loans can be further collateralized by a lien pledged on the installed systems, on the property itself, or both. When the solar energy system loans are structured as residential home improvement loans, the solar ABS effectively securitizes a subordinated (junior) mortgage on the property.

That is why solar ABS investors look for this type of debt: Usually, solar loan borrowers are prime borrowers that own their homes and have good payment records. Additionally, solar ABS investors are typically protected through overcollateralization, subordination, and excess spreads. Collectively, these features further reduce the default risk in these securitizations.

Finally, many solar ABS contain a **pre-funding period**, which allows the trust to acquire during a certain period of time after the close of the transaction additional qualifying transactions that meet certain eligibility criteria.

EXAMPLE 5

Potential Investment Strengths of Solar ABS

Solar ABS can offer an attractive risk/reward profile for fixed income investors. The securities are typically well-structured, with high levels of collateralization and credit enhancement, relatively low risk of default, and an attractive spread. Solar ABS are collateralized by the underlying PV systems, with credit enhancement consisting of (i)

weighted-average FICO consumer credit scores above 700.

Solar lease or loan payments often displace a consumer's former energy payment thus losses in this sector will likely remain low. Defaulting on a solar loan is unlikely to reduce a consumer's overall payment obligation as they need to purchase energy in some form, and defaulting on a solar loan could revert them to paying higher monthly energy expenses. While this asset class has not been through a full credit cycle (the first solar ABS was issued in November 2013 by SolarCity), a combination of a higher credit quality consumer and the desire for a budget-saving power source may reduce the risk of default/loss on the underlying loan/lease payment.[a]

With a focus on combatting climate change, consumers and utilities are continuing to shift away from traditional fossil fuels and are moving towards renewable energy sources such as solar, wind, and geothermal. Unlike coal, petroleum, and other fossil fuels, solar power contributes to a more sustainable environment as a clean, carbon-free form of green energy. Solar ABS directly supports a sustainable future by offering solar energy providers a term funding source. Solar loan/lease payments primarily displace the homeowner's former energy bill, with the average system generally sized to provide more than 90% of the home's current usage.[a]

Solar ABS may offer opportunities for institutions to accomplish dual investment goals of furthering sustainability as part of their ESG initiatives and generating incremental yield.[b]

[a] Institutional Investor, "Solar ABS: A Growing Sector Offered Sunny Side Up" (17 September 2019). https://www.institutionalinvestor.com/article/b1h4mybwwjy5p7/Solar-ABS-A-Growing-Sector-Offered-Sunny-Side-Up.

[b] Tim Zawacki, "Solar Securitizations Present Yield, ESG Play for Institutional Investors," S&P Global Market Intelligence (16 December 2020).https://www.spglobal.com/marketintelligence/en/news-insights/latest-news-headlines/solar-securitizations-present-yield-esg-play-for-institutional-investors-61756315.

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Question Set

1. *Determine the correct answers to fill in the blanks:* During the _____ of a credit card receivable ABS, the security holders receive only _____.

   Hide Solution

   Solution:

   During the revolving period of a credit card receivable ABS, the *security holders* receive only *payments from the finance charges and fees the lender collects*.

2. Describe institutional investor motivations for investing in solar ABS.

   Hide Solution

   Solution:

   Institutional investors have become interested in purchasing solar ABS as these structures offer the opportunity to contribute to sustainability while generating attractive risk-adjusted yields. Solar loans have clear environmentally sustainable benefits through the installation of renewable energy and energy efficiency, which can make them appropriate for investors seeking ESG or climate finance investment alternatives.

3. Explain the potential investment advantage from including a pre-funding period into the structure of a solar ABS.

acquire during a certain period of time after the close of the transaction additional qualifying transactions that meet certain eligibility criteria for sustainable investment. This enhances the overall environmental benefit. In addition, there is a direct investor benefit due to diversification benefits from a broader pool.

4. Describe a similarity of solar ABS and green covered bonds.

Hide Solution

Solution:

Both types of securities are popular means of financing environmental investments in infrastructure. Solar ABS have clear environmentally sustainable benefits through the installation of renewable energy and energy efficiency. The cover pool for green covered bonds are largely made up of mortgages to green buildings, identified through various green building certification standards.

5. Which of the following statements about credit card securitization is correct?

A. Additional fee income is generated for the issuer.
B. The credit card receivables are kept on the issuer's balance sheet.
C. The cost of default risk from credit card debt to the issuer increases.

Hide Solution

Solution:

The correct answer is A. Credit card securitization generates additional fee income for the issuer. B is incorrect because the credit card receivables are removed from the issuer's balance sheet, which provides both capital efficiency and reduces the cost of funding. C is incorrect because the cost of default risk from credit card debt is reduced.

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